In addition, public choice theory encourages us to be sceptical when a politician or an official engages in paternalism. In addition to the lack of empathy (i.e., the policymaker is unable to step into the shoes of a poor person, and see the world from her eyes), there may also be self-interest at work.

Poverty will not be solved by redistribution

Most of us feel an urge to help the poorest. When this impulse translates into private philanthropy, this is the best of all worlds, as there is no state coercion in the picture. There is also value in creating state programmes which deliver money to the poorest persons in society.

At the same time, we should recognize that no country got out of poverty through redistribution. All countries which managed to escape from mass deprivation did so through sustained GDP growth that played out over many decades. We should never lose sight of this prioritization of growth-oriented policies.

In the main, government action should be about identifying and addressing one market failure at a time. This creates conditions for growth that is led by the accumulation of resources in private firms and productivity growth in these firms. Growth is the most powerful, and only effective, anti-poverty weapon.

The main machinery of public economics consists of understanding market failures and addressing them. Poverty is not a market failure. Certain people in every society have a low income compared with others, and this can happen in a perfect economy without any market failures present.

Alongside the main body of a sound state which is focused on market failures, there is the role for redistribution in the form of disaster relief and one lean anti-poverty programme.